

Course Map

The whole semester at a glance — what you'll learn, what to read and watch, and what you'll turn in each week.

BY THE END OF THIS COURSE, YOU'LL BE ABLE TO...

- ① Use financial statement information to compare profitability and efficiency between peer firms and to assess credit risk.
- ② Identify accounting issues that may affect conclusions about firm performance or risk and make necessary adjustments.
- ③ Use parsimonious method to forecast future performance metrics.
- ④ Apply valuation models to estimate firm intrinsic value.

Course at a glance — Seven Weeks, Spring semester.

WEEK	LEARNING OBJECTIVES	COURSE CONTENT	ASSESSMENTS
Week 1: Intro to FSA & Profitability Analysis	○ Use Porter's five forces model to analyze a company's competitive environment. ○ Describe the limitations of financial statements for decision making purposes. ○ Identify operating and non-operating items on the Income Statement. ○ Identify operating and non-operating items on the Balance Sheet. ○ Calculate profitability ratios. ○ Analyze and interpret a company's operating profitability using two-level RNOA analysis.	• Textbook modules 1-3 • Video Lectures: Introduction (Part 1 – Part 3) • Video Lecture: Profitability Analysis • Video: SEC EDGAR Search • Handouts 1-2 & solutions • Spreadsheets for handout 2 and reclassified financial statements	❖ Introduce Yourself Activity ❖ Quiz 1 ❖ Honorlock Webcam Requirement Quiz
Week 2: Credit Risk & Income Statement Analysis	○ Compute and interpret credit risk ratios. ○ Compute Z-score and estimate bankruptcy risk. ○ Evaluate chance of default and loss given default. ○ Explain financial statement (F/S) effects of managerial discretion on the estimation of sales allowance and restructuring accruals. ○ Describe Pro-forma earnings and examples of low earnings quality.	• Textbook modules 4-5 • Video Lecture: Credit risk analysis • Video Lecture: Income Statement Analysis • Week 2 Handouts 1-2 & solutions	❖ Team Contract & Industry Choice Form ❖ Homework 1 ❖ Quiz 2

Week 3: Asset & Liability Recognition	○ Analyze reported Accounts Receivable. ○ Evaluate F/S effects of managerial discretion on allowance for doubtful accounts. ○ Explain the differential effects of FIFO versus LIFO on income statement and balance sheet accounts. ○ Explain the F/S effects of LIFO liquidation and inventory write-down. ○ Calculate, interpret, and compare financial ratios related to operating assets and A/P. ○ Analyze and interpret long-term debt footnote.	• Textbook modules 6-7 • Video Lectures: Balance Sheet Analysis (Part 1 – Part 3) • Week 3 Handouts 1-4 & solutions	❖ Team Assignment ❖ Homework 2 ❖ Quiz 3
Week 4: Equity & Investments	○ Analyze the F/S effects of equity transactions. ○ Distinguish between the different account rules for small and large stock dividends. ○ Analyze the F/S effects of passive vs. equity-method investments vs. control investments. ○ Explain how equity method accounting can distort financial ratios.	• Textbook modules 8-9 • Video Lectures: Equity and Investment (Part 1 – Part 2) • Week 4 Handouts 1-2 & solutions	❖ Midterm Exam
Week 5: Leases & Pensions, Forecasting, and Valuation Basics	○ Analyze reported Accounts Receivable. ○ Evaluate F/S effects of managerial discretion on allowance for doubtful accounts. ○ Explain the differential effects of FIFO versus LIFO on income statement and balance sheet accounts. ○ Calculate, interpret, and compare financial ratios related to operating assets and A/P. ○ Analyze and interpret long-term debt footnote.	• Textbook modules 10-12 • Video Lecture: Lease & Pension • Video Lecture: Forecasting • Video Lecture: Valuation Basics • Week 5 Handouts 1-3 & solutions	❖ Individual Assignment 1 ❖ Homework 3 ❖ Quiz 4
Week 6: DCF, ROPI & Market-based Valuation	○ Estimate intrinsic value using DCF & ROPI & Market-multiple valuation models. ○ Identify the conditions under which DCF & ROPI models yield the same value. ○ Explain the relative advantages and disadvantages of the valuation models. ○ Use Excel goal-seek function to solve for market implied terminal growth rate.	• Textbook modules 13-15 • Video Lecture: DCF Valuation • Video Lecture: ROPI Valuation • Video Lecture: Market-Based Valuation • Week 6 Handouts 1-3 & solutions	❖ Individual Assignment 2 ❖ Homework 4 ❖ Quiz 5
Week 7: Review & Final Exam		• Final Exam Guide • Team Presentation guidelines	❖ Final Exam ❖ Team Presentation ❖ Assessment & Survey